PARANOID ANDROID | Mithun Mohandas | Managing Editor

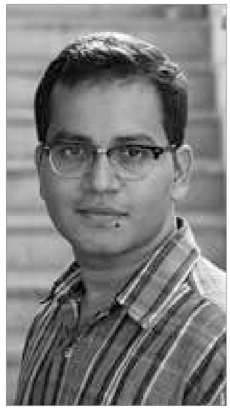
The Next Villain

AS TECHNOLOGY AND SERVICES COMPANIES go about figuring out how to get their services to the next billion, we are often quick to assume that these very companies are solely in it for the money. True, large businesses, especially the ones that are public tend to focus on the revenue generation aspect over everything else. However, the simple rule of building services or new technologies shouldn't be forgotten. It's always about filling a need.

If the product that's being built isn't helpful or is a pain to use, then there's little chance of it being adopted by users. No venture capitalist firm is ever going to throw money at a startup that has no revenue model. All you have to do is attend a few startup pitch sessions or competitions and you'll realise that it's one of the guaranteed questions. Very few ideas exist wherein the product is so mind-boggling that VCs are interested just so that they can be publicly associated with said start-up. Sure you can have an altruistic angle or concept but if there's no money to be made, then you might as well shelve the idea till you have enough money to fund yourself.

Does the idea of having an altruistic product which can also generate revenue make the startup morally corrupt or hypocritical? Not at all. Not unless it is exploiting the very same users it aims to help in order to generate revenue. Take a look at Starlink, Elon Musk's satellite constellation project that aims to build a space-based internet communication system. With plans to deploy 12,000 satellites, Starlink isn't exactly a cheap thing to build. It's estimated to cost $10 billion and that's a low amount because SpaceX already has the mechanism to launch satellites into space. Any other company would have had to pay through their noses. Starlink aims to provide internet services in underserved markets as well as services in urban markets. The money from this service wouldn't be enough to pay for upkeep as well as cover the initial investments. However, if the latency for Starlink is lesser than existing terrestrial and under-sea fibre lines, then stock markets are more than happy to shell out ridiculous amounts for quicker connections. As per some estimates, an undersea connection from New York to London will take 55 milliseconds one way and via Starlink it could be as low as 43 milliseconds. This 28% reduction is a massive improvement for stock markets. This way Starlink can make money to pay for its own upkeep, generate revenue for the parent company and even serve underserved markets in an altruistic manner. We obviously don't know if it will indeed be as such but this approach keeps everyone happy without any signs of exploiting any of the consumers.

What I'm trying to convey is that we are quick to label large companies as morally-bankrupt and money-hungry but it need not always be the case. Certainly a large number of companies, by their own actions, have set this precedent (you can name any major tech company here) which makes us instantly vilify them before even properly investigating them and that's wrong. It's not right to paint all companies vying to serve the next billion with the same vilifying brush. Unfortunately, we all know that they will be. The next billion don't know better. They have needs and they are likely to adopt and use products and technologies that serve those very needs. It's up to us to give these up-and-coming startups a fair chance to explain themselves before we can call out the next villain targeting the next billion. d



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